

Task 6 — Past Exam Questions, Worked

These are the actual past exam questions from your class slides (the "PAST EXAM QUESTIONS" sections of the Terms of Trade deck, plus the BOP data-response practice). The question stems were images, so they weren't in the earlier notes. Answers worked in full below.

Do them covered up first. These are the closest thing you have to the real test.

Multiple choice

Q1. The table shows data for a nation's terms of trade.

Year	Export Price Index	Import Price Index
1	100	100
2	110	106
3	115	110

Which statement about this nation's terms of trade is correct? (A) Improved from Year 1 through to Year 3 · (B) Deteriorated from Year 1 through to Year 3 · (C) Deteriorated Y1→Y2 then improved Y2→Y3 · (D) Improved Y1→Y2 then deteriorated Y2→Y3

Q2. The table shows the volume and price of exports and imports for two years.

Year	X volume	X price	M volume	M price
1	100	100	100	100
2	105	110	110	105

How have the terms of trade and the volume of net exports changed? (A) Risen / Increased · (B) Fallen / Decreased · (C) Fallen / Increased · (D) Risen / Decreased

Q3. This question refers to the table below.

Year	Export price index	Import price index
1	100	100
2	110	120
3	120	125

For this economy in Year 3: (a) the current account has improved · (b) there has been an increase in the volume of exports · (c) the terms of trade have deteriorated · (d) the terms of trade have improved

Q4. What is the main consequence of a fall in an economy's TOT? (a) An appreciation of the Australian dollar · (b) A widening of the current account deficit · (c) Stronger economic growth in Australia · (d) An improvement in national economic welfare

Q5. A decrease in Australia's terms of trade will: (a) increase national income and increase the trade balance · (b) increase national income and decrease the trade balance · (c) decrease national income and increase the trade balance · (d) decrease national income and decrease the trade balance

Q6. The table shows selected economic data for a hypothetical economy.

Balance of payments categories	\$ billion
Export of goods	340
Import of goods	316
Export of services	58
Import of services	61
Net income	−164

Which statement is correct? (a) The balance on goods and services is \$27 billion · (b) The goods balance is \$340 billion · (c) The current account deficit is \$164 billion · (d) The current account deficit is \$143 billion

Q7. If Australia recorded a current account surplus: (a) there would be a reduced need for foreign investment · (b) net foreign liabilities would begin increasing rapidly · (c) Australian residents would need to sell more assets to overseas residents · (d) the capital account must record a deficit

Q8. An increase in direct foreign investment in Australian agriculture would be recorded in Australia's balance of payments as a credit in the: (a) current account · (b) capital account · (c) financial account · (d) national savings account

Q9. (*adjacent topic — see the note at the end*) The table shows the production possibilities of coal and iron ore in two countries.

	Coal (tonnes)		Iron ore (tonnes)
Country A	50	or	100
Country B	80	or	320

According to the table, country: (a) B has a comparative advantage in producing coal · (b) A has an absolute advantage in producing iron ore · (c) B has a comparative advantage in producing iron ore · (d) A has a comparative advantage in producing iron ore

Data response — 12 marks

Refer to the table below relating to the Australian economy.

Year	G&S credit (\$m)	G&S debit (\$m)	Net income balance (\$m)	Current account balance (\$m)	Annual growth rate (%)
2014	81,327	−88,238	−9,883	−16,794	2.6
2015	82,717	−94,022	−12,345	−23,650	2.8
2016	83,588	−89,868	−9,327	−15,607	2.4
2017	97,376	−89,494	−13,486	?	1.8

Source: ABS

- (a)** Calculate: **(i)** the Balance of Goods and Services for 2017; **(ii)** the Current Account Balance for 2017. (2 marks)
- (b)** Explain **two structural** reasons for the change in the net income balance from 2016 to 2017. (5 marks)
- (c)** Explain the relationship between the annual economic growth rate and the Balance of Goods and Services. (5 marks)

Answers

Multiple choice

Q1 — (A). Calculate the TOT each year:

Year 1: $100/100 \times 100 = 100.0$
 Year 2: $110/106 \times 100 = 103.8$ ← rose
 Year 3: $115/110 \times 100 = 104.5$ ← rose again

The TOT rose in both periods, so it improved from Year 1 through to Year 3. **Trap:** in Year 3 the XPI rose 5 points and the MPI rose 4 points — both rose, so you must actually compute the ratio rather than eyeball it.

Q2 — (D) Risen / Decreased. This question deliberately gives you volumes *and* prices, and you need different columns for each half.

TOT (prices only): Y1 = $100/100 \times 100 = 100$
 Y2 = $110/105 \times 100 = 104.8$ → RISEN
 Net export VOLUME: Y1 = $100 - 100 = 0$
 Y2 = $105 - 110 = -5$ → DECREASED

Export volume rose 5% but import volume rose 10%, so net exports fell even though the terms of trade improved. **This is the single most instructive question in the set** — it separates the **price effect** (TOT) from the **volume**

effect (net exports). Don't use price data for a volume question or vice versa.

Q3 — (d) the terms of trade have improved.

$$\text{Year 1: } 100/100 \times 100 = 100.0$$

$$\text{Year 2: } 110/120 \times 100 = 91.7$$

$$\text{Year 3: } 120/125 \times 100 = 96.0$$

The trap is (c). Year 3 (96.0) is still *below* Year 1 (100), so it's tempting to say "deteriorated". But the question asks about the change **in Year 3**, i.e. from Year 2 — and $91.7 \rightarrow 96.0$ is a **rise**. (a) and (b) are the classic "you cannot infer values or volumes from price indexes" distractors: with no quantity data you can say nothing about the current account or export volumes.

Q4 — (b) A widening of the current account deficit. A fall in the TOT means export prices fall relative to import prices, so export credits fall relative to import debits $\rightarrow$ BOGS falls $\rightarrow$ the CAD widens. Why the others fail: (a) a falling TOT causes a **depreciation**, not an appreciation, as demand for AUD falls; (c) a falling TOT **reduces** growth prospects; (d) it **reduces** national economic welfare by cutting real purchasing power from trade.

Q5 — (d) decrease national income and decrease the trade balance. Same mechanism: lower export prices relative to import prices $\rightarrow$ lower export revenue $\rightarrow$ **trade balance falls**; that lost revenue is lost income to exporters $\rightarrow$ **national income falls**. Both go the same way, which rules out (b) and (c) immediately.

Q6 — (d) The current account deficit is \$143 billion.

$$\text{Net goods} = 340 - 316 = +24$$

$$\text{Net services} = 58 - 61 = -3$$

$$\text{BOGS} = 24 - 3 = +21$$

$$\text{CAB} = 21 + (-164) = -143 \rightarrow \text{deficit of \$143 billion}$$

Why the others fail: (a) BOGS is \$21b, not \$27b; (b) \$340b is *exports of goods*, not the goods *balance* (which is \$24b); (c) \$164b is the *net income* deficit, not the CAD.

Q7 — (d) the capital account must record a deficit. From the identity **CAB + KAFA = 0**, a current account surplus must be exactly offset by a capital and financial account **deficit**. Why the others fail: (b) is backwards — a CAS means net foreign liabilities stop growing, not grow rapidly; (c) describes what happens under a *deficit*.

Be aware: option (a) — "reduced need for foreign investment" — is also economically true, since a CAS means savings exceed investment. The reason (d) is the keyed answer is the word **"must"**: (d) follows necessarily from the accounting identity, whereas (a) is an economic implication. Note also that the question says "capital account" loosely to mean the whole **capital and financial account**.

Q8 — (c) financial account. Direct investment is a **financial account** component. It's a **credit** because Australia's liabilities to the rest of the world increase. **The trap is (b)** — the *capital* account is the small, separate part that records capital transfers and non-produced non-financial assets (brand names, copyrights, mining rights). Investment in a business goes in the **financial** account.

Q9 — (c) B has a comparative advantage in producing iron ore. Compare opportunity costs:

$$\text{Country A: } 1 \text{ coal costs } 100/50 = 2 \text{ iron ore} \quad | \quad 1 \text{ iron ore costs } 50/100 = 0.5 \text{ coal}$$

$$\text{Country B: } 1 \text{ coal costs } 320/80 = 4 \text{ iron ore} \quad | \quad 1 \text{ iron ore costs } 80/320 = 0.25 \text{ coal}$$

Lower opportunity cost wins. **Coal:** A (2 iron ore) beats B (4) $\rightarrow$ **A** has the comparative advantage in coal. **Iron ore:** B (0.25 coal) beats A (0.5) $\rightarrow$ **B** has it in iron ore. So (a) and (d) are wrong. (b) is wrong because B produces more of **both** goods, so B has the absolute advantage in both.

Data response

(a)(i) (1 mark)

$$\text{BOGS 2017} = \text{G\&S credit} - \text{G\&S debit} = 97,376 - 89,494 = +\$7,882\text{m} \quad (\text{a surplus})$$

(a)(ii) (1 mark)

$$\text{CAB 2017} = \text{BOGS} + \text{net income} = 7,882 + (-13,486) = -\$5,604\text{m} \quad (\text{a deficit of \$5,604m})$$

Check your method on a row where the answer is given: $2016 \rightarrow (83,588 - 89,868) + (-9,327) = -6,280 - 9,327 = -15,607 \checkmark$ matches the table. The method is sound.

(b) Two structural reasons for the widening net income deficit, 2016 → 2017 (5 marks)

The net income balance moved from −\$9,327m to −\$13,486m, a **widening of the deficit by \$4,159m**. Note the question asks for **structural** reasons — fundamental factors affecting the **income balance**, not cyclical ones.

1. The savings-investment gap. Australia has a small population and a relatively low national savings rate, creating a gap between intended investment and available domestic savings. Australia closes this gap by **borrowing overseas (foreign debt)** and **selling ownership of Australian assets (foreign equity)**. Both generate **servicing obligations** — interest on debt and dividends and profits on equity — recorded as **primary income debits**. As the gap persisted through this period, continued capital inflow added to these outflows, widening the net income deficit.

2. The growing stock of accumulated foreign liabilities. Because Australia has run persistent current account deficits funded by capital inflow, the **stock** of foreign debt and foreign equity has accumulated over time. A larger stock mechanically requires larger interest and dividend payments each year. In addition, much of Australia's capital stock — particularly **mining, which is largely foreign-owned** — became more profitable in 2017 as commodity prices recovered (visible in the 16.5% jump in G&S credits), so **higher profits meant higher dividends paid to overseas investors**, further widening the primary income deficit.

(c) The relationship between the annual growth rate and BOGS (5 marks)

There is an **inverse relationship**. When Australia's growth rate rises, national income rises, so households increase consumption spending — particularly on **discretionary and luxury** goods — increasing **consumption imports**. Firms simultaneously increase production and output, increasing imports of **capital and intermediate goods**. Both raise **debts** in the balance on goods and services, **reducing BOGS**. When growth slows, income falls, households cut discretionary spending and firms reduce capital imports, so debits fall and **BOGS improves**.

The data support this. The highest growth rate in the period, **2.8% in 2015**, coincided with the **largest BOGS deficit (−\$11,305m)**, driven by G&S debits peaking at \$94,022m. Conversely the **lowest growth rate, 1.8% in 2017**, coincided with BOGS moving into a **surplus of \$7,882m**, with debits falling to \$89,494m.

Qualification worth a mark: the 2017 improvement was not caused by weaker growth alone. G&S **credits rose sharply from \$83,588m to \$97,376m (16.5%)**, reflecting a recovery in commodity prices and a rising terms of trade. So while the inverse growth-BOGS relationship holds, export prices were the larger driver in 2017.

Year	Growth	BOGS
2014	2.6%	−\$6,911m
2015	2.8%	−\$11,305m (worst)
2016	2.4%	−\$6,280m
2017	1.8%	+\$7,882m (best)

A note on Q9 and scope

Q9 is comparative advantage, which is **not** one of the five dot points in your task statement. It appeared in the past-exam set your teacher included, which mixes questions from across the trade topic. I've worked it because it's cheap insurance, but don't spend study time there at the expense of the five listed points.

The same applies to the exchange rate. It appears *inside* your topic as a **factor affecting BOGS and the TOT** — which is covered — but exchange rate determination itself is a separate syllabus point and isn't listed in your task.